



Heranba posted good set of numbers with better than expected topline, EBITDA & PAT growth on YoY as well as sequential basis

- Revenue at INR 3,954 Mn, +11.87% qoq / +18.93% yoy
- EBITDA (Excl OI) at INR 712 Mn, +16.41% qoq / +10.66% yoy
- EBITDA margin (Excl OI) at 18.01% vs 17.31% / 19.36% in Q2FY22 / Q3FY21
- PAT at INR 535 Mn, +17.26% qoq / +19.59% yoy
- EPS stood at INR 13.4 vs 11.4 / 11.5 in Q2FY22 / Q3FY21
- 9M Revenue at INR 11,002 Mn, vs 12,186 Mn in FY21

Business Verticals (Q3FY22)

- Domestic Technicals** @ 27% of revenue vs 38% in Q2FY22
 - Export Technicals** @ 43% of revenue vs 23% in Q2FY22
 - Domestic Formulations** @ 19% of revenue vs 30% in Q2FY22
 - Export Formulations** @ 11% of revenue vs 9% in Q2FY22
- Exports : Domestic Sales Mix** = 54% : 46% in Q3FY22 vs 32% : 68% in Q2FY22 indicating strong export pickup which was a laggard in last quarter on unfavourable logistics supply chain
 - Technicals : Formulations** = 70% : 30% in Q3FY22 vs 61% : 39% in Q2FY22 mainly on account of dip in domestic formulation business as Kharif season is over & enhanced technical exports in global markets
 - Revenue growth** was better than our expectation & back on track. Management is confident of achieving the annual guidance of 18-20% revenue growth whereas at current run rate our expectation still remains at 15% revenue growth.
 - EBITDA Margins** could have been slightly better but raw material inventory was of higher purchase price which dragged margins
 - Net Profit after Tax Margin** back to Q1FY22 level of 13.3%

Financial Summary

Y/E Mar (Rs mn)	FY18	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net sales	7,412	10,044	9,514	12,186	14,029	16,555	19,534
Growth Y-o-Y (%)		35.5	(5.3)	28.1	15.1	18.0	18.0
EBITDA	878	1,314	1,293	2,213	2,528	3,011	3,615
Growth Y-o-Y (%)		49.7	(1.6)	71.1	14.2	19.1	20.1
Margins (%)	11.8	13.1	13.6	18.2	18.0	18.2	18.5
Adjusted net profit	469	754	977	1,542	1,880	2,183	2,596
Growth Y-o-Y (%)		60.9	29.5	57.9	21.9	16.1	18.9
EPS (Rs)	60.0	19.3	25.0	38.5	47.0	54.6	64.9
P/E (x)	11	34	26	17	14	12	10
EV/EBITDA (x)	7	20	20	12	10	8	6
RoCE (%)	35.5	45.1	33.3	35.7	31.3	29.1	27.7
RoE (%)	29.8	33.0	30.4	29.2	26.7	24.0	22.6

Source : Dalal & Broacha Research

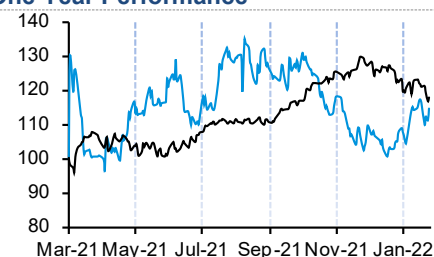
Rating	TP (Rs)	Up/Dn (%)
BUY	1,091	52

Market data

Current price	Rs	706
Market Cap (Rs.Bn)	(Rs Bn)	29
Market Cap (US\$ Mn)	(US\$ Mn)	383
Face Value	Rs	10
52 Weeks High/Low	Rs	945 / 602.1
Average Daily Volume	('000)	91
BSE Code		543266
Bloomberg		HERANBA.IN

Source: Bloomberg

One Year Performance



— Heranba Industries Ltd — Nifty Index

Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	74.77	74.61
Public	25.23	25.39
Total	100	100

Source: Bloomberg

Key Risk :

- Key Pyrethroid prices & fluctuation
- Erratic monsoon
- Delay in implementation of capex

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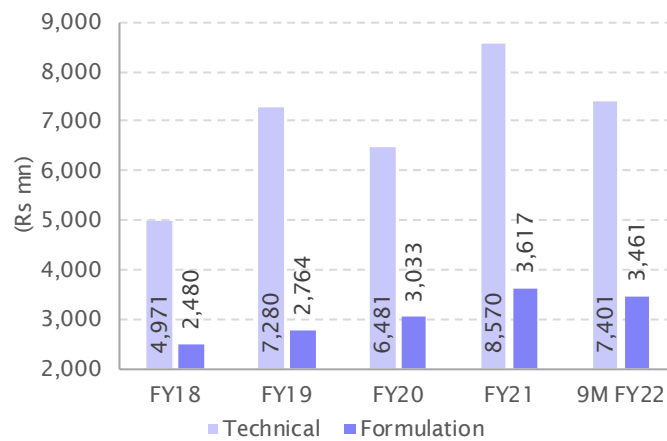
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Quarterly Financials

(Rs.Mn)	Q3FY22A	Q3FY21	YoY Growth (%)	Q2FY22	QoQ Growth (%)
Revenue from Operations	3,954	3,325	19%	3534	12%
Other Income	51	8	527%	52	-1%
Cost of Goods sold	2,550	2,009	27%	2,257	13%
Employee Benefits Expense	191	173	11%	150	28%
Other Expenses	521	499	5%	515	1%
Total Expenses	3,242	2,681	21%	2,923	11%
EBITDA (Excluding Other Income)	712	644	11%	612	16%
Depreciation and Amortisation Expenses	42	38	11%	38	11%
EBIT / PBIT	721	614	17%	626	15%
Finance Costs	9	9	-8%	12	-26%
EBT/ PBT	713	604	18%	614	16%
Tax Expense	178	157	13%	158	13%
Net Profit after Tax	535	447	20%	456	17%
Earning Per Share	13.4	11.5	17%	11	17%
Margins (%)					
Gross Margins	35.5%	39.6%	-406	36.1%	-64
EBITDA Margins (Excl Other Income)	18.0%	19.4%	-135	17.3%	70
PAT Margins	13.4%	13.4%	-7	12.7%	63

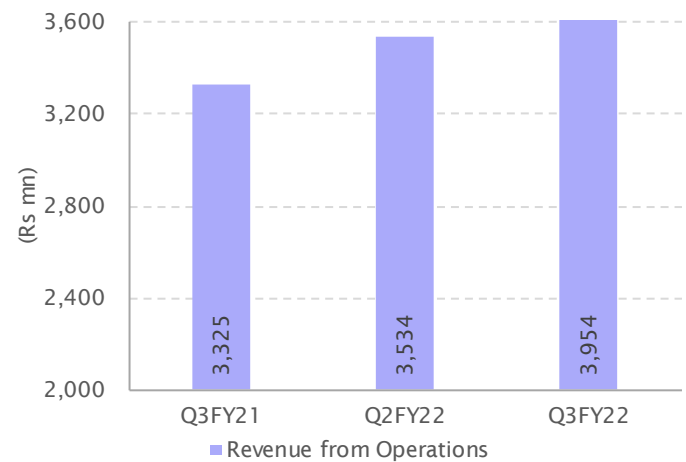
Source: Dalal & Broacha Research

Exhibit 1: Revenue from Technical & Formulation

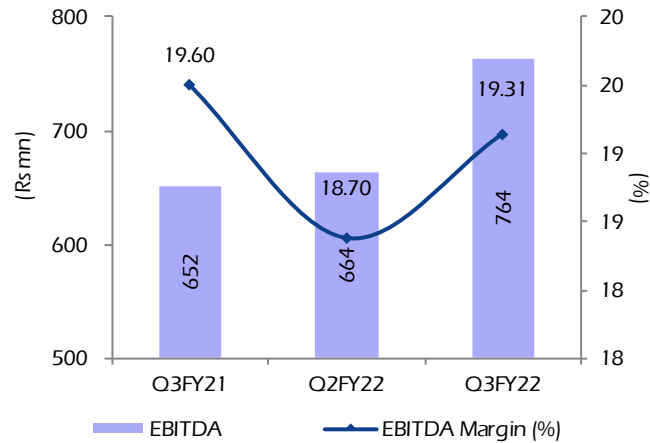


Source: Company, SSL

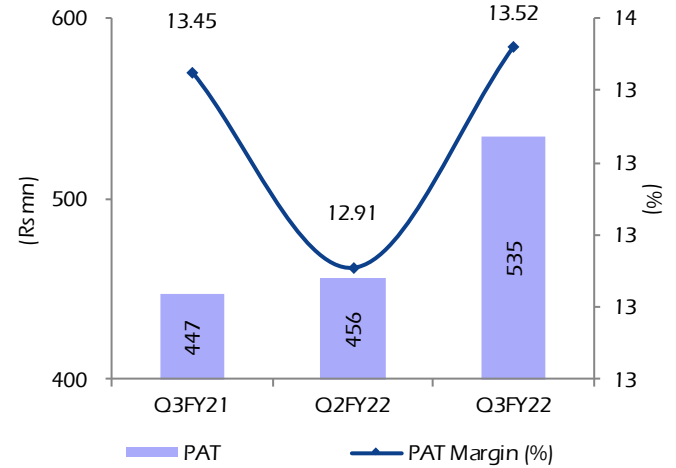
Exhibit 2: Revenue from Operations (Rs.mn)



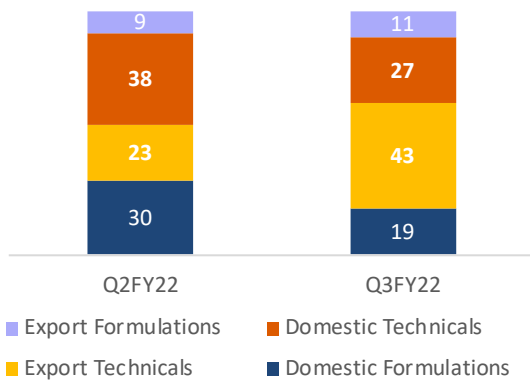
Source: Company, SSL

Exhibit 3: EBITDA(incl. Other Rev) and EBITDA Margin


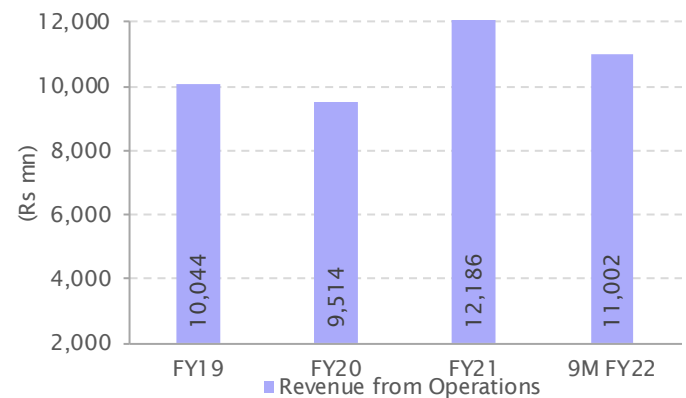
Source: Company, SSL

Exhibit 4: PAT and PAT Margin


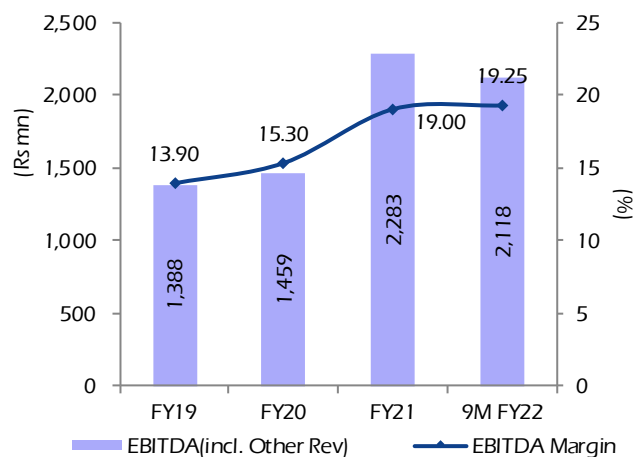
Source: Company, SSL

Exhibit 5: EBITDA(incl. Other Rev) and EBITDA Margin


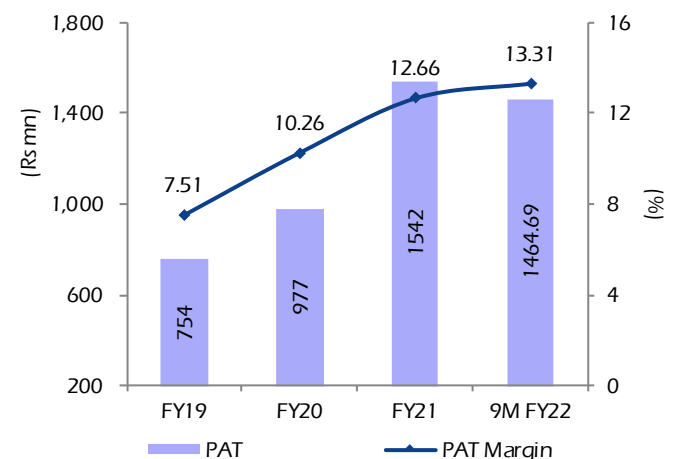
Source: Company, SSL

Exhibit 6: Net Revenue from Operation


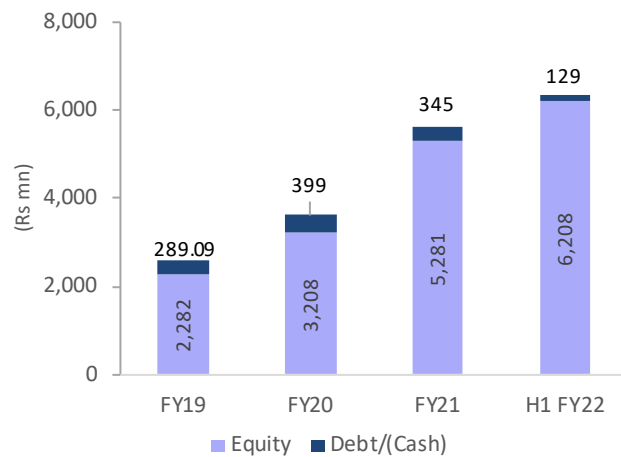
Source: Company, SSL

Exhibit 7: EBITDA and EBITDA Margin


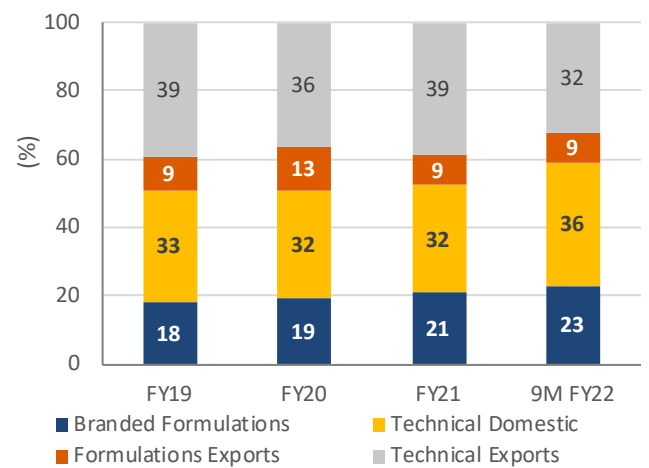
Source: Company, SSL

Exhibit 8: PAT and PAT Margin


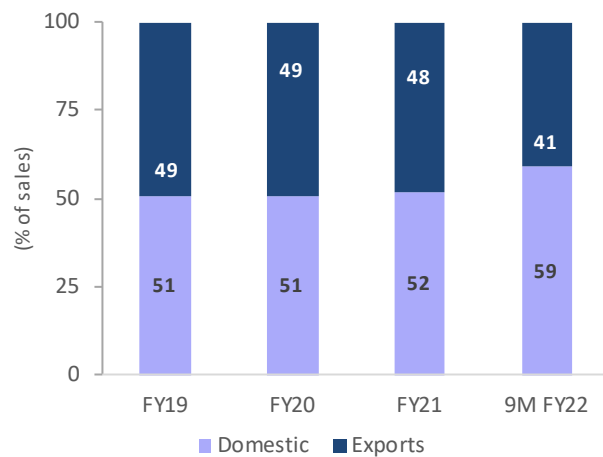
Source: Company, SSL

Exhibit 9: Net Debt/(Cash) and Equity


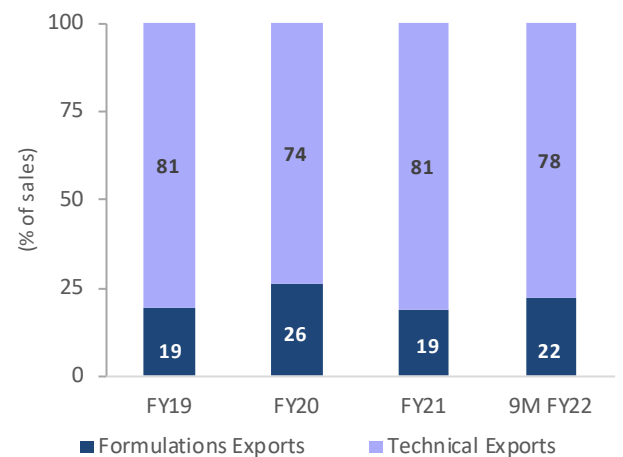
Source: Company, SSL

Exhibit 10: Revenue from Operations


Source: Company, SSL

Exhibit 11: Revenue from Exports


Source: Company, SSL

Exhibit 12: Export Revenue Split: Technical


Source: Company, SSL

Did you know?

Heranba sells agrochemicals to domestic market as well as exports to more than 60+ countries & hence is not affected by seasonality, making it one of the most stable agro-chemical company.

Management Concall KTAs

- **Capex** : Rs.70 crs spent in 9MFY22 including purchase of land at Saykha through internal accruals
- **Capacity Addition** :
Current Capacity : 15,000 MTPA
Addition :
Sarigam : Phase 1 + Phase 2* = 15,000 MTPA
Saykha~ : 10,000 MTPA
*Phase 2 completion expected in March 2023 (Q4FY23)
~1.5-2 years post completion of capex at Sarigam
- **Working capital cycle** :
Q3FY22 : 105 days
Q2FY22 : 115 days
Target @ 90-95 days
- **New Molecules** : (2- Fungicide ; 2- Herbicide ; 1- Insecticide)
 - Not very big molecules
 - Market size of US\$ 600-700Mn globally (~4,500-5,000 crs)
 - Can't expect higher market share from these products as MNCs are also present but could generate good revenue for Heranba size company
- **FCFF @ 20-25% of Operating profit**
- **Cash in Hand (Q3FY22)** : Rs.40 crs
- **Branded Formulation** : Target to reach 400 crs revenue from current 250 crs
- **Future revenue growth potential** :
 - Expecting 4x growth from Bifentherin on small base of 20-30MTs
 - Expecting 25% value growth from profenophos
- ~150 registrations in pipeline across geographies & products
Registration pipeline in key geographies :
USA : 3 (Received 1 registration)
Europe : 2 (Received 4 registration)
- China started resuming operations in mid November
- Capacity fungible within insecticides, however not across product category (Insecticide capacity cannot be utilized to produce fungicide or herbicide)
- Maintains order book of 2-3 months
- Old RM inventory was at higher price whereas prices of raw material & finished goods fell during the quarter which could have improved margins slightly

- Present majorly in Insecticide products but now expanding to herbicide & fungicide
- 100% backward integrated for all pyrethroids, starts process from base chemicals
- For key fungicide backward integrated to “n-4” level (not completely backward integrated)
- For herbicide intermediate (raw material) received from China
- Present in 3 organophosphate compounds for which one raw material procured from outside, not made internally
- Management ideology for backward integration is unless they generate substantial volume of specific molecule they do not intend to move backward for its intermediates
- Currently heranba does not make metribuzen herbicide or indulges in selling glyphosate (seen heavy demand globally)

Valuation & Outlook

Management is confident of achieving the annual guidance of 18-20% revenue growth whereas at current run rate our expectation still remains at 15% revenue growth with enhanced growth of 18-20% from next FY as capex fructifies. With capex in full stream & robust global demand for agrochemicals, Heranba is all set for exponential growth.

Heranba is currently trading at 12x / 10x FY23e / FY24e EPS. We maintain our **BUY recommendation** at current levels with a slight increase in our target price from Rs.1,060 to Rs.1,091 valuing company at 20x FY23E of Rs.54.6. It continues to remain one of the most undervalued stock with superior financial ratios & a superb growth trajectory.

Recommendation Summary

Dates	Rating	Report Type	Reco. Price	Target	Report
20-Aug-21	Buy	Management Meet Update	775	1,200	Click to download
23-Sep-21	Buy	Initiating Coverage	810	1,200	Click to download
12-Nov-21	Buy	Quarterly Update - Q2FY22	710	1,060	Click to download
29-Jan-22	Buy	Quarterly Update - Q3FY22	718	1,090	

About the Company:

Heranba Industries (Heranba) was incorporated as an agrochemical company in 1992. It is also one of the leading domestic producers of synthetic pyrethroids with a market share of 19.5% in domestic pyrethroid market. The company is present in the entire product value chain of the agrochemicals industry (i.e. Intermediates, Technical and Formulations)

Business verticals include:

- Domestic bulk sales of Technical
- Technical bulk exports
- Branded formulations
- Formulations exports

Heranba has more than 9,400 dealers across sixteen (16) states and one (1) union territory in India supporting the distribution of its products. It has four manufacturing facilities in and around Vapi with a capacity of ~15,000 MTPA.

Financials

P&L (Rs mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Sales	10,044	9,514	12,186	14,029	16,555	19,534
Total Operating Expenses	6,978	6,374	7,795	9,026	10,760	12,697
Employee Cost	380	465	522	606	678	760
Other Expenses	1,373	1,381	1,656	1,870	2,105	2,462
Operating Profit	1,314	1,293	2,213	2,528	3,011	3,615
Depreciation	60	82	147	166	221	291
PBIT	1,255	1,211	2,067	2,362	2,790	3,324
Other income	74	165	70	161	178	195
Interest	107	88	54	45	49	49
PBT	1,221	1,288	2,083	2,479	2,918	3,470
exceptional)	1,221	1,288	2,083	2,479	2,918	3,470
Provision for tax	467	312	541	598	735	875
Reported PAT	754	977	1,542	1,880	2,183	2,596
MI	-	-	-	-	-	-
Net Profit	754	977	1,542	1,880	2,183	2,596
Adjusted Profit (excl Exceptionals)	754	977	1,542	1,880	2,183	2,596
Balance Sheet	FY19	FY20	FY21	FY22E	FY23E	FY24E
Equity capital	391	391	400	400	400	400
Reserves	1,891	2,818	4,881	6,653	8,688	11,096
Net worth	2,282	3,208	5,281	7,053	9,088	11,496
Non Current Liabilities	103	86	101	121	126	131
Current Liabilities	3,220	2,953	3,051	4,609	5,278	6,063
TOTAL LIABILITIES	5,604	6,248	8,433	11,783	14,492	17,690
Non Current Assets	1,088	1,534	1,881	2,351	3,084	4,008
Fixed Assets	671	1,332	1,431	1,877	2,573	3,456
Goodwill	-	-	-	-	-	-
Non Current Investments	0	37	101	101	101	101
Deferred Tax Asset	1	-	10	-	-	-
Other Financial Assets	71	84	242	266	292	322
Other Non Current Assets	345	81	97	107	117	129
Current Assets	4,516	4,713	6,552	9,432	11,408	13,682
Current investments						
Inventories	1,139	1,455	1,660	2,114	2,495	2,944
Trade Receivables	2,533	2,585	3,418	3,921	4,626	5,459
Cash and Bank Balances	210	32	848	2,709	3,529	4,445
Short Term Loans and Advances	15	26	20	22	24	27
Other Current Assets	619	615	607	667	734	807
TOTAL ASSETS	5,604	6,248	8,433	11,783	14,492	17,690

Cash Flow St. (Rs. mn)	FY19	FY20	FY21	FY22E	FY23E	FY24E
Net Profit	754	977	1,542	1,880	2,183	2,596
Add: Dep. & Amort.	60	82	147	166	221	291
Cash profit s	814	1,059	1,689	2,047	2,404	2,887
(Inc)/Dec in						
-Sundry debtors	(502)	(52)	(833)	(503)	(706)	(833)
-Inventories	(199)	(316)	(205)	(454)	(381)	(449)
-Loans/advances	-	(9)	9	-	-	-
- Other Current Assets	(109)	253	(168)	(97)	(106)	(117)
-Current Liab and Provisions	102	97	170	44	47	52
Sundry Creditors	568	(227)	(169)	1,503	623	735
Change in working capital	(140)	(255)	(1,196)	493	(522)	(612)
CF from Oper. activities	674	804	493	2,540	1,882	2,275
CF from Inv. activities	(257)	(780)	(310)	(612)	(917)	(1,174)
CF from Fin. activities	(326)	(202)	632	(67)	(145)	(184)
Cash generated/(utilised)	92	(178)	816	1,861	820	917
Cash at start of the year	118	210	32	848	2,709	3,529
Cash at end of the year	210	32	848	2,709	3,529	4,445
Ratios	FY19	FY20	FY21	FY22E	FY23E	FY24E
OPM	13.08%	13.60%	18.16%	18.02%	18.19%	18.51%
NPM	7.45%	10.09%	12.58%	13.25%	13.05%	13.16%
Tax Rate	38.26%	24.20%	25.95%	24.15%	25.20%	25.20%
Growth Ratios (%)						
Net Sales	35.51%	-5.28%	28.09%	15.12%	18.00%	18.00%
Operating Profit	49.66%	-1.57%	71.12%	14.22%	19.08%	20.08%
PBIT	60.04%	5.50%	61.66%	19.00%	17.73%	18.93%
PAT	60.86%	29.52%	57.93%	21.91%	16.10%	18.93%
Per Share (Rs.)						
Net Earnings (EPS)	19.3	25.0	38.5	47.0	54.6	64.9
Cash Earnings (CPS)	20.8	27.1	42.2	51.1	60.1	72.1
Dividend	1.0	1.0	1.7	2.7	3.7	4.7
Book Value	58	82	132	176	227	287
Free Cash Flow	281	(562)	125	1,758	772	895
Valuation Ratios						
P/E(x)	34	26	17	14	12	10
P/B(x)	11.3	8.0	5.0	3.7	2.9	2.3
EV/EBIDTA(x)	19.9	20.2	11.7	9.5	7.7	6.2
Div. Yield(%)	0.15%	0.15%	0.26%	0.41%	0.56%	0.71%
FCF Yield(%)	42.46%	-85.08%	18.85%	265.99%	116.80%	135.33%
Return Ratios (%)						
ROE	33.05%	30.44%	29.20%	26.66%	24.02%	22.58%
ROCE	45.12%	33.29%	35.73%	31.26%	29.09%	27.70%

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